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# JUDGMENT SHEET
# IN THE LAHORE HIGH COURT, MULTAN BENCH, MULTAN
# JUDICIAL DEPARTMENT

***RFA No.13 of 2017***

**M/s Haji Mehdi Hassan & Sons & others**

**Versus**

**Allied Bank Limited**

## J U D G M E N T

Date of hearing: 28.11.2022.
Appellants by: Mr. Muhammad Suleman Bhatti, Advocate.
Respondent by: Mr. Muhammad Riaz Kamlana, Advocate.

**MUHAMMAD SAJID MEHMOOD SETHI, J.-** Through instant appeal, appellants have challenged the vires of judgment & decree dated 05.10.2016, passed by learned Judge Banking Court-II, Multan, whereby respondent-bank's suit for recovery was decreed in the following manner:-

> "9. The claim to the extent of Rs.11,11,241.89 by plaintiff bank has stand proved with credible un-rebutted evidence. Suit of the plaintiff is decreed in favour of plaintiff and against the defendants for recovery Rs.11,11,241.89 with costs. Plaintiff is further held entitled to realization of cost of funds as certified by State Bank of Pakistan from the period of date of default till realization. It is made clear that amount(s), if any, paid by defendant(s) / customer(s) in loan account but not credited in statement of account shall be deducted at the time of execution of decree. Decree sheet be drawn accordingly."

2. Brief facts of the case are that respondent-bank filed suit for recovery of Rs.11,11,241.89 with the averments that appellant No.1 is a partnership concern and appellants No.2 & 3 are partners / mortgagors / guarantors; that appellant No.1 had been availing RF Limit from respondent-bank since the year 2000 and in 2010, it continued to avail the facility and applied for renewal of said

facility to the extent of Rs.1.00 Million vide application dated 03.04.2010, which was allowed on 22.04.2010. The expiry date of the said finance was 30.04.2011 and appellants, for the purpose of securing said loan from respondent-bank, executed a number of documents and upon default in payment of due amount, respondent-bank filed suit for recovery, which was contested by the appellants by filing application for leave to appear and defend the suit. Learned Judge Banking Court, after hearing the arguments of learned counsel for the parties, dismissed said application and passed judgment & decree dated 05.10.2016 in the manner as stated in the introductory paragraph. Hence, instant appeal.

3. Learned counsel for appellants submits that the appellants raised many objections, *inter alia*, non-filing of application for renewal of loan facility, fake signatures on sanction letter regarding renewal of finance facility, non-execution of other documents regarding renewal of finance facility, but these objections have not been decided, which even otherwise were based on mixed questions of law and facts, requiring evidence of the parties. He adds that there are major contradictions in documents annexed with plaint but learned Judge Banking Court has totally ignored the same. He maintains that the statement of account annexed with the plaint was not compliant with the provisions of the Bankers' Books Evidence Act, 1891.

4. Conversely, learned Legal Advisor for respondent-bank defends the impugned judgment & decree by contending that the appellants, after expiry of time limit i.e. 30.04.2011, did not bother to fulfill their obligation as per terms and conditions of finance agreement.

5. Arguments heard. Available record perused.

6. It is the stance of respondent-bank that appellant No.1 availed finance facility in the year 2000 and in 2010, appellant applied for renewal, which was accordingly sanctioned to the tune

of Rs.1.00 Million, with expiry date till 30.04.2011; that appellants mortgaged their property, full description whereof is given in plaint and other documents for repayment of the finance facility availed by them; that principal amount was Rs.1,261,420/- up till 29.04.2010 and repaid the amount of Rs.332,300.11, therefore, net outstanding principal amount i.e. Rs.929,119.89 plus amount of markup i.e. Rs.1,82,122.00 comes to Rs.11,11,241.89, which respondent-bank is entitled to recover from the appellants.

7. Record shows that the claim of the respondent-bank was supported by the following documents annexed with the plaint:-

a) Registered Mortgage Deed No.3219/1 dated 21.04.2000
b) Agreement for finance on markup basis IB-6 dated 06.05.2010
c) D.P Note dated 06.05.2010 IB-12
d) Letter of Hypothecation IB-25 dated 06.05.2010
e) Personal Guarantees of partners / mortgagors / guarantors IB-29
f) Memorandum confirming third party deposit of titled deeds IB-24

The statement of account annexed with the plaint is certified within the meaning of Section 4 of the Bankers' Books Evidence Act, 1891, therefore, there is no doubt about its authenticity and validity. The appellants disputed the veracity of the documents brought on record by the respondent-bank through leave application without any documentary proof, thus, it did not constitute a plausible defence. Appellants failed to present some substantial question of fact or law, which needed to be tried or investigated into. Appellants did not append any proof regarding alleged repayments, which were allegedly suppressed by the bank. Needless to say that in banking suits, the parties have no option to make general allegations / assertions, especially in respect of amounts but must be absolute and specific in this regard. In these circumstances, they were rightly held disentitled for grant of leave.

Reference can be made to *Messrs New Bhatti Oil Mills through Proprietor and another v. National Bank of Pakistan through Principal Officer and Attorney Holder* **(2016 CLD 1805)**, *PAK OMAN Investment Company Limited v. CRESOX (Pvt.) Limited* **(2017 CLD 1659)** and *National Bank of Pakistan v. Messrs Kohinoor Spinning Mills and others* **(2021 CLD 1112)**.

8. Learned counsel for appellants has specifically denied signatures of appellants upon sanction letter dated 22.04.2010 regarding renewal of finance facility. We have compared the signatures of appellants on aforesaid sanction letter with the admitted signatures on sanction advice dated 22.06.2009 and found them similar. The same were also confronted to learned counsel for appellants, who could not deny the similarity of signatures on these documents. In these circumstances, the other questions regarding non-filing of application for renewal of finance facility and non-execution of other documents do not arise.

Under Article 84 of the *Qanun-e-Shahadat* Order, 1984, the Court enjoins plenary powers to itself compare the signature along with other relevant material to effectively resolve the main controversy. Reference can be made to *Messrs Waqas Enterprises and others v. Allied Bank of Pakistan and 2 others* **(1999 SCMR 85)** and *Dr. Ijaz Ahmad v. Mst. Nasreen Akhtar and others* **(2005 SCMR 1295)**.

9. The other available documentary evidence also negates the version of appellants and supports the stance of respondent-bank. Learned Judge Banking Court has rightly analyzed the documentary material brought on record and appreciated the relevant provisions of law in true perspective while decreeing the suit. Learned counsel for appellants has failed to point out any illegality or legal perversity in the impugned judgment and decree, which does not call for interference by us.

10. In the above circumstances, this appeal, being devoid of any merit, is hereby ***dismissed*** with no order as to costs.

**(Muhammad Raza Qureshi) (Muhammad Sajid Mehmood Sethi)**
**Judge Judge**

***APPROVED FOR REPORTING***

**Judge**

***A.H.S.***